INTERNAL INVESTMENT NOTE — SES S.A.

Euronext Paris / Luxembourg Stock Exchange: SESG

Prepared by Joy Lorna | 19 August 2026 | Educational portfolio model | Internal-use format | EUR millions unless stated

Recommendation	**WATCHLIST / CONDITIONAL ACCUMULATE BELOW €8.85** **Blended fair value: €8.85–€17.51 per share | Blended EV: €8.4bn–€12.1bn**

Business Summary

SES S.A. is a Luxembourg-headquartered multi-orbit satellite and connectivity operator serving Networks and Media customers. The Intelsat acquisition, completed on 17 July 2025, materially increased scale, leverage and integration complexity. FY2025 reported revenue was €2.627bn and Adjusted EBITDA was €1.196bn; management's FY2026 outlook is stable year on year on a like-for-like, constant-currency basis. The investment debate is whether Networks growth, sovereign-connectivity demand and merger synergies can offset structural Media decline, LEO pricing pressure and post-transaction leverage.

Valuation Conclusion

The workbook triangulates a blended enterprise-value range of €8.4bn–€12.1bn, equivalent to an indicative €8.85–€17.51 per share. The Base-case DCF produces €11.8bn EV and €16.78 per share using a five-year FCFF forecast, 7.2% WACC and 1.5% terminal growth; the selected DCF sensitivity band is €10.1bn–€14.1bn. The comparable-company analysis applies 5.0x–7.5x EV/EBITDA to FY2026E Adjusted EBITDA and implies €6.0bn–€9.0bn EV. The 60% DCF / 40% Comparable Company weighting reflects the importance of long-term cash-flow generation while retaining a market-based valuation cross-check.

Directional View

WATCHLIST / CONDITIONAL ACCUMULATE below €8.85. The model supports a positive bias only after a validated market-price check. An outright BUY is not defensible until live peer multiples and the current share price are refreshed. Reported minority interests and the latest official economic-equivalent share count are already source-backed in the workbook. Re-rating requires visible deleveraging toward 3.0x or below, confirmed synergy capture and Networks growth exceeding Media decline; weaker cash conversion, prolonged leverage or integration slippage would invalidate the positive case.

Key Risks

Upside catalysts	**Faster-than-modelled Intelsat synergy delivery; Government, Aviation and Mobility momentum; IRIS^2 and sovereign-connectivity wins; deleveraging toward ≤3.0x, enabling stronger capital returns.**
Downside risks	Slower deleveraging; Media decline exceeding Networks growth; Starlink, Kuiper and broader LEO pricing pressure; integration delays; satellite launch, deployment or in-orbit health risk.

Model Integrity Notes

Workbook basis: FY2023–FY2025 revenue and Adjusted EBITDA, FY2025 leverage, FY2026 guidance, Intelsat timing, listing details, €91m reported minority interests and 417.006m economic-equivalent shares are source-backed. Peer betas and capital structures, the 4.3% pre-tax cost of debt, peer multiples and the current share price remain refreshable market-sensitive inputs. Terminal value contributes 80.0% of DCF EV; sensitivity and valuation triangulation, not a single point estimate, should therefore drive judgement.

Valuation outputs should be interpreted as a range rather than a precise estimate, particularly given the significance of terminal-value assumptions and the uncertainty associated with post-Intelsat integration.

Primary Sources

SES FY2025 Results: https://www.ses.com/sites/default/files/2026-03/2603_FY2025%20Press%20Release_Final.pdf

SES FY2024 Results: https://www.ses.com/press-release/ses-full-year-2024-results

SES Financial Results: https://www.ses.com/investors/financial-results

PwC Luxembourg Corporate Tax Summary: https://taxsummaries.pwc.com/luxembourg/corporate/taxes-on-corporate-income